FAIRFAX INDIA HLDGS CORP FIH.U

December 13, 2023 - 10:08am EST
by rajpgokul

			2023	2024
Price:	13.80	EPS	0	0
Shares Out. (in M):	135	P/E	0	0
Market Cap (in $M):	1,820	P/FCF	0	0
Net Debt (in $M):	400	EBIT	0	0
TEV (in $M):	1,920	TEV/EBIT	0	0

Description

Fairfax India - Solid portfolio of investments available at a 40%+ discount to NAV !

Elevator Pitch:

Fairfax India has a portfolio of growth businesses trading at reasonable valuations. The IPO of Bangalore airport (largest asset in the portfolio) would be a key catalyst in the next 2 years and will show how attractively it has been marked by the management. The fee structure is exorbitant (2/20 structure like a PE fund), but a mix of factors (entry discount, share buybacks, cheap leverage etc) will allow investors to get similar (if not better) returns as the underlying growth in NAV (~15% expected CAGR over the next 5 years).

Investment Thesis:

Fairfax India owns 59% of the Bangalore airport after the recent acquisition of 10% additional stake from Siemens. This is the crown jewel of Fairfax India and pretty much equates to 1.6 billion USD in value. This would translate into 85% of the current market cap and 54% of overall NAV/ Book value. Thus, a bet on Fairfax India is a bet on Bangalore airport, at least in the next 3-5 year time frame.

Bangalore Airport:

Bangalore Airport is an extremely attractive asset to own. I believe that the true discovered value of the airport in a domestic IPO process would be upwards of 4 billion USD compared with the management’s mark of 2.7 billion USD. The reason for the conservative marking of the asset would be due to the recent transaction of Fairfax India buying 10% stake from Siemens around these levels. In my view, Siemens was an uneconomic seller (they got this stake in return for building the asset in 2007) and Fairfax India was able to get an attractive deal for themselves.

In 2019, Fairfax was able to sell part of the Bangalore airport to OMERS at a similar valuation to the current mark. The peer valuations of other Indian airports are 3X higher now than 4 years back. The Bangalore airport would have a rousing welcome in Indian markets and be bid up by domestic investors as high quality long duration assets which benefit from urban consumption growth are rare.

Bangalore has been India’s fastest growing city for the last 2-3 decades (not only in India, but globally as well) and is well exposed to secular trends like technology, electronics manufacturing etc to drive further growth. The Bangalore airport has the concession until 2068 (almost 45 years from now). The airport when opened was far outside the city, but the city continues to develop towards the airport with multiple infrastructure projects to connect the airport with the city. The airport within the next 3 years would be well connected by Metro and Suburban trains in addition to the strong road infrastructure that has already been built. This is important as the airport has almost 460 acres of land that it can develop and lease.

The airport has a regulated ROE of 16% on passenger fees and then unregulated income from retail, advertising, parking rentals, etc. Within the Indian airport space, Delhi was amongst the first airports that went to private hands. As per their last results, the regulated passenger revenue was just 1/3rd of the total revenues and the remaining 2/3rd was from unregulated sources (Land rental & retail - 33%, Duty Free & F/B - 19%, Parking & Ads - 6% and Others - 8%). This shows that an investment in the airport is a bet on the discretionary consumption trend of Bangalore. As India gets richer and more Indians travel and spend money on retail/ F&B etc, Bangalore airport will achieve higher operating leverage and profits will grow exponentially. That is a no brainer bet from a 10-20 year view (FWIW, I live in the suburbs of Bangalore and have absolute conviction on the city’s growth).

The airport has been growing passenger volumes at double digit rate over the last 10 years and we can expect the same going forward as well. Bangalore airport is expected to achieve full capacity by 2030 with almost 90 million yearly passengers. To put that in perspective, London’s Heathrow in 2019 (pre-

COVID peak) flew 80 million passengers. The city is expected to start searching for land for a 2nd airport within the next few years as it continues to grow (current population is 13 million people).

The absolute valuation of 2.6 billion USD for Bangalore airport looks attractive from a general thumb check across similar assets in India and globally. The management uses the following conservative inputs to calculate their value.

Investments	Valuation technique	Significant unobservable inputs	Significant unobservable inputs used in the internal valuation models
Common stocks:			
BIAL	Discounted cash flow	After-tax discount rate	12.4% to 16.0%
		Long term growth rate	3.5%

From the private filings of the Bangalore airport, the approximate data points are as follows:

in million USD	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23
Revenue	185.8	191.6	171.6	67.9	103.7	220.2
EBITDA	139.5	129.6	109.3	14.9	44.8	
Profit after Tax	81.5	105.6	30.2	-66.9	-44.0	65.2
Cash flow from operations						154.3
Interest Expense						59.3
CFO for equity						95.1

The airport opened its new Terminal 2 last year and that creates accounting entries that are difficult to normalise. Also, there are certain tax writebacks that make it difficult to analyse the true earnings power. Indian passenger traffic has smartly recovered from COVID and 2024 and 2025 should be good years for the airport.

Public Equity Portfolio:

Fairfax India has a public equity portfolio that as of today is equivalent to 1.25 billion USD. The major value in this comes from IIFL group and CSB Bank (almost 1 billion USD).

We are bullish on IIFL Finance (largest position in our global portfolio and we own around 1.5% of the firm). The group is run by a wonderful owner-operator who understands capital efficiency and shareholder value creation. The stock trades at <10X earnings and 2.3X price to book with ROE and growth of 20%+.

We don’t own CSB Bank directly, but it is a well run mid sized bank with a good management team that wants to scale up the business 10 fold over the next decade. The stock trades at 12X earnings and <2X book value with a healthy 18% ROE.

The rest of the portfolio (IIFL securities, 5 Paisa, Fairchem Organics etc) are good businesses that are trading at reasonable valuations. There are no large valuation or growth risks that I see in their public portfolio.

Private Portfolio:

The largest allocations in the private portfolio outside of Bangalore airport are Sanmar (300 million USD) and NSE (176 million USD). Fairfax has investments in the holding company of Sanmar in line with the promoter family, but majority of the underlying value of the group is in the listed firm - Chemplast Sanmar. You can see from the market cap of the listed firm that the marking of the holding asset is reasonable. Fairfax’s indirect holding of the listed firm is approximately worth 220 million USD and the group has other large assets outside the listed firm in Egypt. Another way to check their valuation is that the pro-forma profit before tax of Sanmar for Fairfax’s stake was 39 million USD in 2022 (7.7X multiple on 2022 PBT).

NSE is India's largest stock exchange and should have a listing over the next few years. The exchange has been growing leaps and bounds with increasing equity participation in the country. It is a good asset that we should be happy to own for the next decade (marked at 19X 2022 earnings). The unlisted shares change hands currently at 25%+ higher than the valuation assigned by Fairfax team.

The rest of the private portfolio is worth 350 million USD that is spread over 6-7 businesses. I don't have any strong views on them and are not material to our thesis.

Valuation & other factors:

The stock is trading at less than 60% of the underlying portfolio and I believe that is a large discount despite the high fee structure. The firm has been buying back shares (along with the parent Fairfax Financial) and the shares outstanding has reduced by 1.25% this year (they have retired 11% of outstanding shares in the last 5 years). I expect the share buybacks to accelerate as we get closer to the Bangalore airport IPO. The net debt is around 400 million USD, but has a 5 year tenure with 5% fixed cost.

While the discount can theoretically widen even further from current levels, I believe that the current discount of 40% is on the higher end and the management can buy back shares aggressively if it persists (especially once the Bangalore airport listing gives them more liquidity). There are multiple levers of shareholder returns in Fairfax India - NAV compounding, discount narrowing, share buybacks etc.

The biggest catalyst for the idea continues to be the expected IPO of the Bangalore airport. If the IPO doesn't happen, then it is equivalent to paying a PE fund a 2/20 fee structure to get access to a good private deal (positive is that we are buying it at a 40% discount). So, the overall Risk-Reward looks attractive to us.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Bangalore Airport IPO, Share Buybacks

Messages

Subject Airport IPO
Entry 12/15/2023 09:33 AM
Member punchcardtrader

Thank you for the post! Have looked at this a few times & always the fee structure that turns me off. This seems timely though.

Could you share a little bit more why your estimate of the IPO valuation? Thanks!

Subject Re: Airport IPO
Entry 12/15/2023 03:38 PM
Member rajpgokul

Hi Punchcard - other than what I have already written in the note, my views on the BIAL IPO from a pricing and valuation angle are as follows:

Pricing - There are enough rumours/ news articles/ Investment banking scuttle-butt that show that BIAL was looking to IPO at 3.7 billion USD valuation at the end of the last year before the Siemens stake purchase discussion started. The market pricing for long duration assets like Bangalore airport has increased phenomenally over the last 12 months due to stable interest rates in India, the medium term growth prospects becoming brighter, large aviation orders placed by airlines and generally investors having FOMO to get entry into good monopoly assets. So, it is not difficult to understand that BIAL at 2.6 billion USD looks underpriced. My guess is that Fairfax invested an additional 250 million USD into BIAL (an asset that they have already been controlling for the last 5 years) in 2023 knowing very well that they can IPO this asset at a much higher price and earn a good IRR on incremental capital. It is like an insider buying a large % of shares from market. BTW, GMR Airports share price is up almost 100% in the last 1 year and this would have a rub-off effect on BIAL IPO.

Valuation - The closest peer for BIAL would be the listed GMR Airports and especially its Hyderabad airport as they are from the same vintage and regulatory framework with similar growth drivers (Bangalore is bigger though). Since it is already a listed firm, there are more disclosures and better analyst coverage. I am attaching a snapshot from a Kotak sell side report that shows their expectations on how the Hyderabad airport P&L would evolve over the next 5 years.

														CAGR (%)		
	2017	2018	2019	2020	2021	2022	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2014-19	2019-29E	Comments
Gross revenues	11,054	12,520	14,523	15,258	4,629	7,040	12,780	17,817	20,249	23,038	26,651	30,988	36,054	14.9	9.5	
Aero revenues	8,179	9,323	10,852	11,314	2,781	4,054	7,852	11,917	13,803	15,802	16,447	18,833	21,567	20.7	7.1	True-up at GHIAL will lead to a small drop in aero revenues after an expected tariff order by FY2019.
Non-aero revenues	2,875	3,197	3,671	3,859	1,631	2,683	4,610	5,567	6,096	6,869	9,436	11,318	13,576	4.0	14.0	Non-aero revenue growth led by duty-free and F&B.
Concession fee	(462)	(530)	(615)	(650)	(225)	(303)	(544)	(703)	(826)	(958)	(1,047)	(1,218)	(1,417)			Concession fee expense for GHIAL is modest compared to the large revenue share paid by DIAL.
Net revenues	**10,592**	**11,991**	**13,907**	**14,608**	**4,404**	**6,434**	**11,918**	**17,179**	**20,181**	**23,415**	**25,603**	**29,770**	**34,638**	**14.9**	**9.6**	
EBITDA	8,022	8,837	9,926	9,911	749	2,214	5,202	12,576	16,153	19,402	20,457	24,326	28,570	20.4	11.2	
Depreciation	(2,038)	(1,984)	(1,390)	(1,707)	(1,898)	(2,199)	(2,600)	(3,970)	(5,370)	(6,164)	(5,698)	(5,230)	(4,761)			
EBIT (incl. other income)	7,010	8,356	9,708	9,347	285	1,065	3,983	8,572	10,113	12,532	15,150	19,609	24,497			
Interest expense	(2,011)	(1,983)	(1,982)	(2,405)	(2,367)	(2,585)	(3,402)	(4,845)	(6,088)	(6,897)	(6,231)	(5,015)	(3,312)			
PBT	5,000	6,374	7,726	6,941	(2,083)	(1,520)	581	3,726	4,024	5,635	8,920	14,593	21,185	52.3	10.6	
Tax expense	(1,510)	(347)	(399)	(573)	790	440	(251)	(186)	(201)	(282)	(2,230)	(3,648)	(5,296)			
Recurring PAT	**3,490**	**6,027**	**7,328**	**6,368**	**(1,293)**	**(1,080)**	**330**	**3,540**	**3,823**	**5,353**	**6,690**	**10,945**	**15,889**	**68.3**	**8.0**	**Modest concession fee allows GHIAL to stay profitable**
Cash profit	**5,528**	**8,011**	**8,718**	**8,075**	**606**	**1,119**	**2,930**	**7,510**	**9,193**	**11,518**	**12,388**	**16,175**	**20,650**			
No. of passengers (mn)	**15**	**18**	**21**	**22**	**8**	**12**	**21**	**25**	**29**	**33**	**37**	**43**	**49**	**19.5**	**8.7**	
Domestic	12	15	17	18	8	11	18	21	24	27	31	36	41	22.3	9.1	
International	3	4	4	4	1	1	3	4	5	5	6	7	8	10.5	7.0	Key driver for duty-free revenues.
Aero-tariff per passenger	538	509	509	521	276	327	374	483	483	483	439	439	439			True-up at GHIAL expected to cause a smaller decline in aero tariffs compared to the sharp drop expected at DIAL.
% share of non-aero revenues	26.0	25.5	25.3	25.3	35.2	38.1	36.1	31.2	30.1	29.8	35.4	36.5	37.7			

As you can see from data below, doubling of passengers would lead to asymmetric improvement in profitability. Just as a proxy, they think that 49 million passengers would lead to the airport generating cash profits of 250 million USD/ year. You can co-relate my disclosures from the private filings of the airport to check that this number would probably end up being conservative for BIAL as the asset is more cost efficient and has a better non-aero mix. Extrapolating the Hyderabad projections would mean that Bangalore Airport at 90 million passengers by the end of this decade would be 460 million USD. If let's say the airport trades at 20X cash profits then (even from 2030, the airport will have a tenure of 38 years and will continue to clip the growing passenger spending with not much incremental CAPEX) and you use a 12% discounting rate to get the present value, the current value of the airport should be 4.16 billion USD. On top of this, the airport will have real estate monetisation initiatives that would be valuable. Just to give you an idea, the Delhi airport is expected to earn 150 million USD per year when they develop/ lease the 200 acres. Also, remember, Fairfax will be IPO'ing Anchorage as they intend to participate in other airport privatisation bids (some platform value, maybe).

So, all in all, I do believe that the current valuation mark of 2.6 billion USD is attractive and we get a 40% discount on top of it by buying Fairfax India shares. Even if let's say, 25% is the ideal discount for the fee structure, our implied purchase price of the airport is less than 2 billion USD. So, I believe that the Risk-Reward is attractive for investors. Thanks.

Subject	Curious if you have an update?
Entry	09/19/2024 12:45 PM
Member	gb48

it's only been about 10 months, and I'm not sure anything has really changed, but it does not seem like the BIAL IPO is any closer today than it was at the time of the writeup?

Has your valuation of BIAL changed since last year given performance or comps?

thanks,

Subject	Re: Curious if you have an update?
Entry	09/19/2024 01:30 PM
Member	rajpgokul

Nothing meaningful as such, but all Indian risk assets have moved up in the last 10 months. Fairfax's public portfolio has also done well. So the valuation gap is still attractive in my view. Thanks.

Subject	Re: Re: Curious if you have an update?
Entry	12/05/2024 03:17 PM
Member	gb48

FIH just bought another 10% of BIAL at $2.55bn valuation - for an asset the writeup thinks is worth $4bn and we think is worth over $5bn.

Subject	anchorage
Entry	04/02/2025 02:44 PM
Member	Soprano14

Any thoughts on the likelihood of an Anchorage IPO here? Seems like this has been off and on for three years now. Struggling to diligence this point / if they can get it done by September 2025. thanks